Trepp® CMBS Research

SEP 2026



TREPP CMBS
DELINQUENCY REPORT

Overall CMBS Delinquency Rate Rose 17 Basis Points in September 2026

The Trepp Commercial Mortgage-Backed Securities (CMBS) Delinquency Rate rose 17 basis points to 8.02% in September 2026, its highest level since November 2020.

Delinquency rates increased or remained flat across four of the five major property types, while retail fell sharply. Multifamily rose 35 basis points to 8.04%. Lodging rose 34 basis points to 6.18%, and office rose 16 basis points to 12.16%, both led by the new delinquencies described above. Industrial was unchanged at 1.14%. Retail fell 62 basis points to 6.58% on the mall cures.

Five large single-asset, single-borrower loans drove much of the increase. Four of those five missed their maturity payoff months earlier in the year but remained performing. This month they turned non-performing or advanced into foreclosure.

The five largest newly delinquent loans spanned mixed-use, office, and lodging collateral: a $1.10 billion eight-property studio-and-office portfolio loan in Los Angeles, a $470.0 million two-tower office complex in Houston, a $280.0 million beachfront hotel loan in Santa Monica, a $230.1 million office loan in Denver, and a $208.9 million single-tenant office loan in Silicon Valley. Non-performing matured balloon loans accounted for 68% of newly delinquent balances, foreclosures for 19%, and 30-day delinquencies for 13%.

Two of the five largest newly delinquent loans fit that pattern. The studio-and-office portfolio and the Houston office complex each missed their maturity payoff months earlier, and extensions are still being negotiated. Their moves to non-performing status in September more likely reflect the ongoing loan negotiations rather than a new default.

The hotel loan shows clear distress with a notice of default provided in July, even as the borrower continues to pursue a sale or refinancing. The Denver office tower loan advanced toward foreclosure in September. A court-appointed receiver took control of the property after the borrower indicated it would give up the asset. The Silicon Valley office loan exhausted its extension options and missed its maturity in August, moving directly from current to foreclosure.

The month's largest cure was a $384.3 million Los Angeles office tower that moved from non-performing to performing matured balloon status after the borrower resumed making interest-only payments. Three large regional malls cured or paid off this month, including a $260.1 million mall in Lakewood, California, and a $210.0 million mall near Rochester, New York, that turned to performing matured balloon status, and a $232.9 million mall in Providence, Rhode Island, that paid off in full.

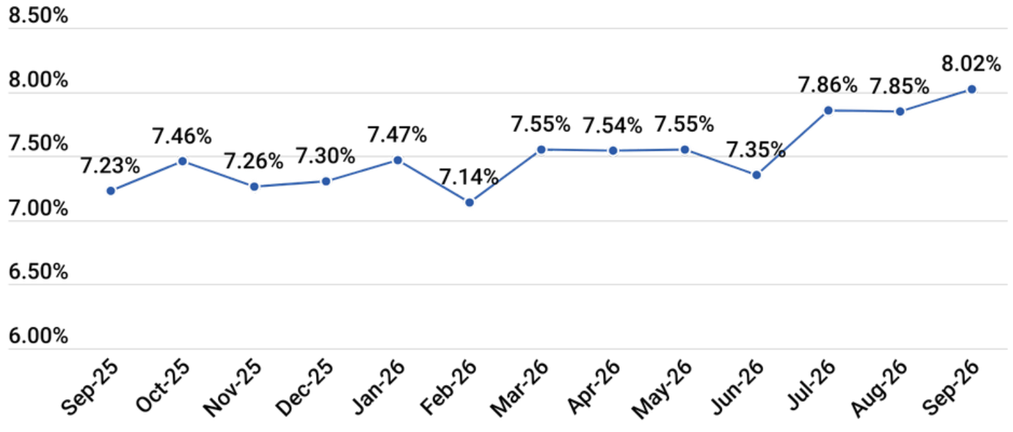
If loans past their maturity date but current on interest (classified as performing matured balloon) were included, the delinquency rate would register 9.66%, down 15 basis points from August. The seriously delinquent rate (60+ days delinquent, in foreclosure, real estate owned (REO), or non-performing matured balloon) increased 18 basis points to 7.87% from 7.69%. The 30-day delinquent rate edged down one basis point to 0.15% from 0.16% in August. The figures assume defeased loans are included in the denominator unless otherwise specified.



The Overall Numbers

- The overall U.S. CMBS delinquency rate increased 17 basis points to 8.02%.
- The percentage of loans that are seriously delinquent (60+ days delinquent, in foreclosure, REO, or non-performing balloons) is now 7.87%, up 18 basis points for the month.
- Excluding defeased loans, the overall headline delinquency rate would be 8.22%, up 18 basis points from August.
- One year ago, the overall U.S. CMBS delinquency rate was 7.23%.
- Six months ago, the U.S. CMBS delinquency rate was 7.55%.

CHART 1: PERCENTAGE OF CMBS MARKED AS 30+ DAYS DELINQUENT



Source: Trepp

TABLE 1: DELINQUENCY STATUS

DELINQUENCY STATUS	PERCENTAGE %
Current	90.34
30 Days Delinquent	0.15
60 Days Delinquent	0.06
90 Days Delinquent	0.71
Performing Matured Balloon	1.64
Non-Performing Matured Balloon	2.74
Foreclosure	2.90
REO	1.46

Source: Trepp

TABLE 2: DELINQUENCY RATE BY PROPERTY TYPE (% 30 DAYS +)

PROP TYPE	Sep-26	Aug-26	Jul-26	3 MO.	6 MO.	12 MO.
Overall	**8.02**	**7.85**	**7.86**	**7.35**	**7.55**	**7.23**
Industrial	1.14	1.14	1.13	1.20	0.65	0.56
Lodging	6.18	5.84	5.35	5.22	7.31	5.81
Multifamily	8.04	7.69	7.69	7.23	7.15	6.59
Office	12.16	12.00	11.91	11.57	11.71	11.13
Retail	6.58	7.20	6.96	6.91	6.62	6.76

Source: Trepp

The CMBS 2.0+ Numbers

- The CMBS 2.0+ delinquency rate rose 17 basis points to 7.93% in September.
- The percentage of CMBS 2.0+ loans that are seriously delinquent is 7.78%, up 18 basis points from the prior month.
- Excluding defeased loans, the overall CMBS 2.0+ delinquency rate would be 8.13%, up 18 basis points for the month.

Property Type Analysis CMBS 2.0+

- Industrial delinquency rate: 1.14% (No Change)
- Lodging delinquency rate: 6.17% (up 34 basis points)
- Multifamily delinquency rate: 8.06% (up 35 basis points)
- Office delinquency rate: 12.09% (up 19 basis points)
- Retail delinquency rate: 6.27% (down 63 basis points)

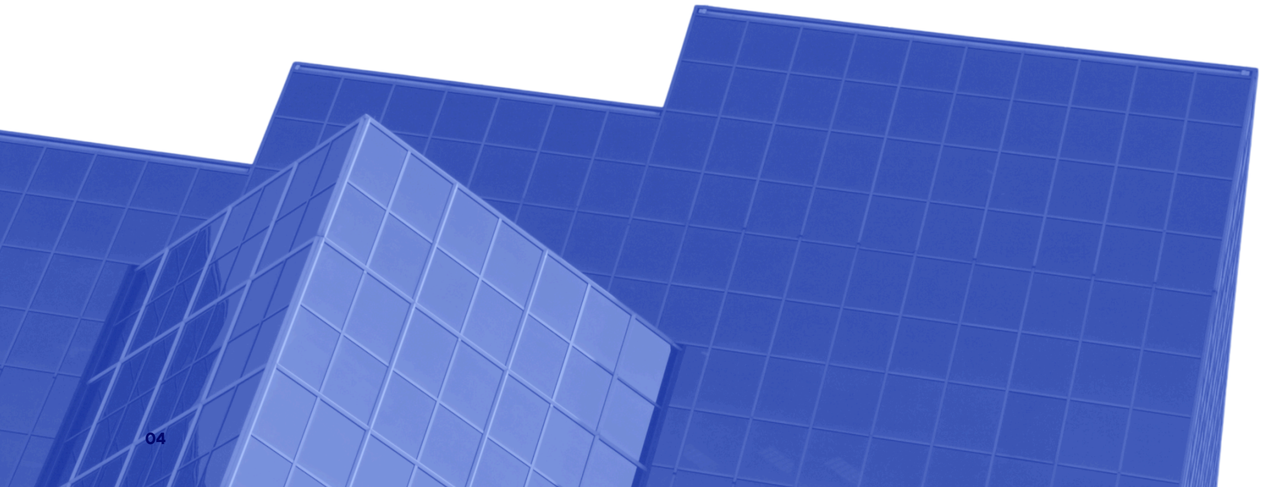
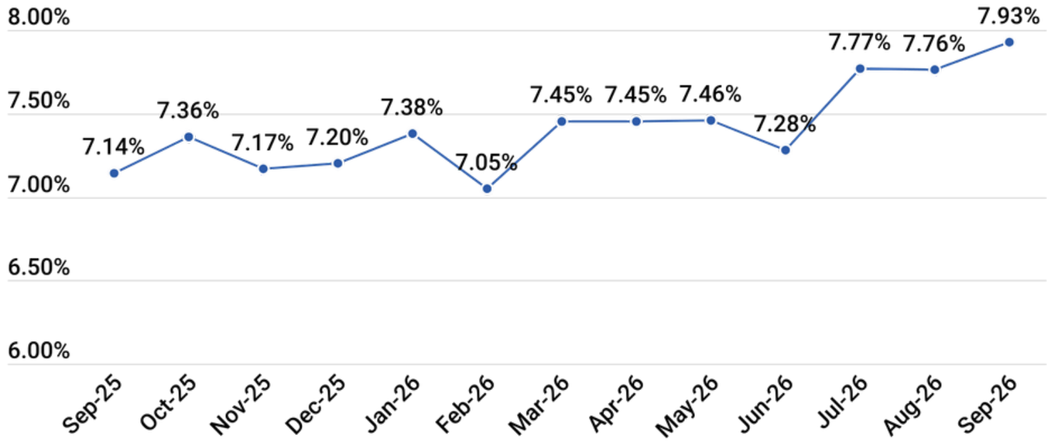


CHART 2: THE CMBS 2.0+ DELINQUENCY RATE



Source: Trepp

WHAT IS THE DIFFERENCE BETWEEN CMBS 1.0 & CMBS 2.0+?

CMBS 1.0 refers to CMBS issued prior to the 2008 financial crisis, characterized by higher loan-to-value ratios and lower debt service coverage ratios. CMBS 2.0+ refers to the second generation of CMBS issued after the financial crisis, incorporating reforms to restore investor confidence. These include enhanced underwriting standards, increased disclosure requirements, improved loan servicing practices, and stronger risk retention rules in compliance with Dodd-Frank regulations.



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